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Part- A Answers

1	2	3	4	5	6	7	8	9	10
d	a	a	b	a	d	a	b	c	b
11	12	13	14	15	16	17	18	19	20
b	a	b	c	b	b	c	b	a	d

Part-B Answer the following questions in one or two sentences.

21. Define cost.

22. Define cost function.

23. What do you mean by fixed cost?

24. Define Revenue.

25. Explicit Cost - Define.

26. Give the definition for 'Real Cost'.

27. What is meant by Sunk cost?

Part C Answer the following questions in one paragraph.

28. Distinguish between fixed cost and variable cost.

29. State the differences between money cost and real cost.

30. Distinguish between explicit cost and implicit cost.

31. Define opportunity cost and provide an example.

32. State the relationship between AC and MC.

33. Write a short note on Marginal Revenue.

34. Discuss the Long run cost curves with suitable diagram.

Part-D Answer the following questions in about a page

35. If total cost = $10+Q^3$, find out AC, AVC, TFC, AFC when Q=5.

36. Discuss the short run cost curves with suitable diagram.

37. Bring out the relationship between AR and MR curves under various price conditions.